

5-4a Multiple-Step Income Statement

The 20Y8 income statement for **NetSolutions** is shown in **Exhibit 12**. This form of income statement, called a

multiple-step income statement (A form of income statement that contains several sections, subsections, and subtotals.)

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Sales

The total amount of sales to customers for cash and on account is reported in this section. NetSolutions reported sales of \$708,255 for the year ended December 31, 20Y8.

Cost of Goods Sold

As shown in **Exhibit 12**, NetSolutions reported cost of goods sold of \$520,305 during 20Y8. This amount is the cost of goods sold to customers. Cost of goods sold may also be reported as *cost of merchandise sold* or *cost of sales*.

Gross Profit

The excess of sales over cost of goods sold is gross profit. As shown in **Exhibit 12**, NetSolutions reported gross profit of \$187,950 in 20Y8.

Operating Income

Operating income (The difference between gross profit and operating expenses.) , sometimes called

income from operations (The difference between gross profit and operating expenses.) , is determined by subtracting operating expenses from gross profit. Operating expenses are normally classified as either selling expenses or administrative expenses.

Selling expenses (Expenses that are incurred directly in the selling of merchandise.) are incurred directly in the selling of merchandise. Examples of selling expenses include sales salaries, store supplies used, depreciation of store equipment, delivery expense, and advertising.

Administrative expenses (Expenses incurred in the administration or general operations of the business.)

, sometimes called

general expenses (Expenses incurred in the administration or general operations of the business.)

, are incurred in the administration or general operations of the business. Examples of administrative expenses include office salaries, depreciation of office equipment, and office supplies used.

Each selling and administrative expense may be reported separately as shown in [Exhibit 12](#). However, many companies report selling, administrative, and operating expenses as single line items, as follows for NetSolutions:

Gross profit		\$ 187,950
Operating expenses:		
Selling expenses	\$70,820	
Administrative expenses	<u>34,890</u>	
Total operating expenses		<u>(105,710)</u>
Operating income		\$ 82,240

Other Revenue and Expense

Other revenue and expense items are not related to the primary operations of the business.

Other revenue (Revenue from sources other than the primary operating activity of a business.)

is revenue from sources other than the primary operating activity of a business. Examples of other revenue include income from interest, rent, and gains resulting from the sale of fixed assets. **Other expense** (Expenses that cannot be traced directly to operations.) is an expense that cannot be traced directly to the normal operations of the business. Examples of other expenses include interest expense and losses from disposing of fixed assets.

Other revenue and other expense are offset against each other on the income statement. If the total of other revenue exceeds the total of other expense, the difference is added to operating income to determine net income. If the reverse is true, the difference is subtracted from operating income. The other revenue and expense items of NetSolutions are reported as follows and in [Exhibit 12](#):

Operating income		\$82,240
Other revenue and expense:		
Rent revenue	\$ 600	
Interest expense	<u>(2,440)</u>	<u>(1,840)</u>
Net income		<u><u>\$80,400</u></u>

Link to Dollar Tree

Dollar Tree reports its income using the multiple-step income statement format.

Multiple-Step Income Statement

The following account balances were taken from the adjusted trial balance for Laser-Tek Company for the fiscal year ended December 31, 20Y2:

Advertising Expense	\$ 32,500	Miscellaneous Selling Expense	\$ 4,320
Cost of Goods Sold	512,400	Office Salaries Expense	82,400
Depreciation Expense—Office Equipment	20,000	Office Supplies Expense	1,650
Interest Revenue	1,425	Sales	912,500
Miscellaneous Administrative Expense	1,200	Sales Salaries Expense	160,000

Prepare a multiple-step income statement for Laser-Tek Company.